

5-3b Nontariff Barriers (NTBs)

Today, tariff barriers are often criticized around the world.

Nontariff barriers (NTBs) (Trade barrier that relies on nontariff means to discourage imports.)

are now increasingly the weapon of choice in trade wars. NTBs include

- (1) subsidies,
- (2) import quotas,
- (3) export restraints,
- (4) local content requirements,
- (5) administrative policies, and
- (6) antidumping duties.

Subsidies (Government payments to domestic firms.) , as noted earlier, are government payments to domestic firms. Similar to their colleagues in Japan, European farmers, who represent 2% of the EU population, are masters of extracting subsidies. The EU's Common Agricultural Policy (CAP) costs European taxpayers US\$150 billion per year, eating up 40% of the EU budget. European consumers do not like the CAP, and governments and farmers in developing countries eager to export their foodstuffs to the EU hate it.

How do import quotas affect businesses and consumers in both the importing and exporting countries?



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Import quotas (Restrictions on the quantity of imports.) are restrictions on the quantity of imports. They are worse than tariffs, because foreign goods can still be imported if tariffs are paid. Quotas are thus the most straightforward denial of absolute or comparative advantage. For example, between 2003 and 2009, Australia annually exported 770,000 head of live cattle to Indonesia, to the delight of Indonesian beef lovers. However, since 2009, import permits suddenly became harder to obtain. A quota of only 500,000 head of imported cattle was set for 2011. For Indonesia, a densely populated island nation, importing beef from a sparsely populated cattle country next door would tap into Australia's comparative advantage and would be win-win for both countries. But with the shrinking quota, Aussie cattle exporters are devastated, and Indonesian beef lovers have to put up with skyrocketing prices—and some of them may have to simply quit eating beef.

Because import quotas are protectionist pure and simple, countries have to shoulder political costs in today's largely pro-free trade environment. In response,

voluntary export restraints (VERs) (International agreements that show that exporting countries voluntarily agree to restrict their exports.)

have been developed to show that on the surface, exporting countries *voluntarily* agree to restrict their exports. VERs, in essence, are export quotas. One of the most (in)famous examples is the VERs that the Japanese government agreed in the 1980s to restrict US-bound automobile exports. This, of course, was a euphemism because the Japanese did not volunteer to restrict their exports. Only when faced with concrete protectionist threats did the Japanese reluctantly agree.

Another NTB is

local content requirements (Requirement stipulating that a certain proportion of the value of the goods made in one country must originate from that country.)

, which require a certain proportion of the value of the goods made in one country to originate from that country. The Japanese automobile VERs are again a case in point here. Starting in the 1980s, because of VERs, Japanese automakers switched to producing cars in the United States through foreign direct investment (FDI—see [Chapter 6](#) for details). However, such factories initially were “screw driver plants,” because a majority of components were imported from Japan and only the proverbial “screw drivers” were needed to tighten the bolts. To deal with this issue, many countries impose local content requirements, mandating that a “domestically produced” product will still be treated as an “import” subject to tariffs and NTBs unless a certain fraction of its value (such as 51% specified by the Buy America Act) is produced locally.

Administrative policies (Bureaucratic rules that make it harder to import foreign goods.)

refer to bureaucratic rules that make it harder to import foreign goods. India recently banned Chinese toys, citing safety concerns. Argentina has recently ordered importers of foreign cars to find export buyers of Argentine wines; otherwise, port authorities would not release imported cars. Foreign print publications, including time-sensitive newspapers and magazines, are held at the Buenos Aires airport unless subscribers go there to pay an additional fee.

Finally, the arsenal of trade warriors also includes

antidumping duties (Tariff levied on imports that have been “dumped” (selling below costs to “unfairly” drive domestic firms out of business).)

. Chapter 11 will expand the discussion on dumping (selling below cost) and antidumping duties in much greater detail.

Taken together, trade barriers reduce or eliminate international trade. While certain domestic industries and firms benefit, the entire country—or at least a majority of its consumers—tends to suffer. Given these well-known negative aspects, why do people make arguments against free trade? The next two sections outline economic and political arguments against free trade.

Chapter 5: Trading Internationally: 5-3b Nontariff Barriers (NTBs)

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